

MINISTRY OF PETROLEUM RESOURCES

PETROLEUM RESOURCES DEPARTMENT

7, KOFO ABAYOMI STREET, VICTORIA ISLAND, LAGOS.

12650

P.M.B. No. PETRES

Telegrams 3200440 - 9

Telephone

Telex 27478 NG



PI.3032/FDP/217/V.1/222

Ref. No.

Date November 3rd, 2006

The Managing Director
Peak Petroleum industries Nigeria Limited
108, Abibu Adetoro Street, Off Ajoye Adeogun,
Victoria Island,
Lagos.

Dear Sir,

WELL LOCATION/NAME: Bilabri Deep- 4

CLASSIFICATION/OML: ORDINARY APPRAISAL OML-122

We refer to your letter dated 20th October, 2006 and inform you that in accordance with section 32(2) of the Petroleum (Drilling and Production) Regulation 1969 and its Amendments approval is hereby granted you to drill Bilabri Deep- 4 **as an ordinary appraisal well**, in OML 122.

You are reminded that this well should be spudded in accordance with the provisions of Section 32(2) (a)(iv) - b(i-iii) of the Petroleum (Drilling and Production) Regulations 1969 and its Amendments.

This approval shall expire six (6) months from the date of issue and must be revalidated if drilling does not commence within that period.

You should inform the Operations Controller, Department of Petroleum Resources in Warri of the actual date of commencement of the drilling operations prior to the execution.

A statement of the actual costs/end of well report should be forwarded to this office at the end of the drilling operations.

We acknowledge the receipt of your Ecobank Bank Cheque number 00017358 of 20th October, 2006 for the sum of Five thousand Naira (₦5,000.00) only being the statutory fee for this permit.

Yours faithfully,

O.O. LOFINMKIN

for: Director, Petroleum Resources

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Ref. No.....PI.3032/FDP/217/V.1/220
Date.....November 2, 2006.

The Managing Director,
Peak Petroleum Industries Ltd.,
Plot 1423, Amodu Tijani Street,
Off Sanusi Fafunwa Street,
P. M. B. 80153,
Victoria Island,
Lagos.

Dear Sir,

TEMPORARY PLUG AND ABANDONMENT: BILABRI DEEP # 3

Your letter of October 26, 2006 refers.

2. In accordance with the provisions of the Petroleum (Drilling and Production) Regulations 1969 and its Amendments, approval is hereby granted you to temporarily plug and abandon Bilabri Deep # 3 well drilled in OML 122.
3. The well should be abandoned in accordance with good oil field practice.
4. You are advised to adhere strictly to the proposed abandonment status diagram.
5. You should submit the actual cost of the abandonment operation to this office at the end of the operation.

Yours faithfully,

A handwritten signature in black ink, appearing to read 'O. O. LOFINMAKIN'.

O. O. LOFINMAKIN
FOR: DIRECTOR, PETROLEUM RESOURCES